

EM Fiscal R-Star: Where the Tensions Are

Mapping fiscal–monetary stress across 19 EMs using the IMF's debt-stabilising real-rate framework

The concept: a debt-stabilising real rate

Fiscal R* is the real interest rate that would stabilise the public debt-to-GDP ratio for a given primary balance, growth, and inflation target. It is derived in Bolhuis, Koosakul and Shenai (IMF WP/24/174) by setting the change in debt to zero in the standard debt-accumulation equation and solving for the real rate:

$$R^*_{\text{fiscal}} = g + (pb^*/d) \times (1 + g + \pi) - TP$$

where g is trend real growth, pb^* is the targeted primary balance (% of GDP), d is the debt stock, π is the inflation target, and TP is the term premium (subtracted so that fiscal R* is on a short-rate basis, comparable to monetary R*). Three intuitions: faster growth raises the real rate the country can sustainably bear; a more positive primary balance allows a higher r^* ; a higher debt stock lowers it, by amplifying any fiscal slippage. The $(1+g+\pi)$ factor is a small correction (typically 0.05–0.4pp) for the nominal-over-nominal debt ratio.

Why the gap with monetary R* matters

Monetary R* is the real neutral policy rate. The two concepts answer different questions: monetary R* asks what real rate neither stimulates nor restrains the economy; fiscal R* asks what real rate keeps debt stable given the fiscal plan. **When the two are equal, fiscal and monetary authorities can pursue their objectives without conflict.** When monetary R* exceeds fiscal R*, the central bank's neutral rate is incompatible with debt sustainability — something has to give.

Two adjustment paths are available, and neither is comfortable: either the fiscal authority tightens — pulling the primary balance towards the level needed to support a higher real rate — or the central bank "budges", running policy below monetary R* to keep debt serviceable. The first path is fiscal consolidation; the second is fiscal dominance. A persistent gap also raises the risk of financial repression, where investors absorb the cost via negative real bond returns. **For investors, the gap is a useful proxy for which credibility — fiscal or monetary — is most likely to bend.**

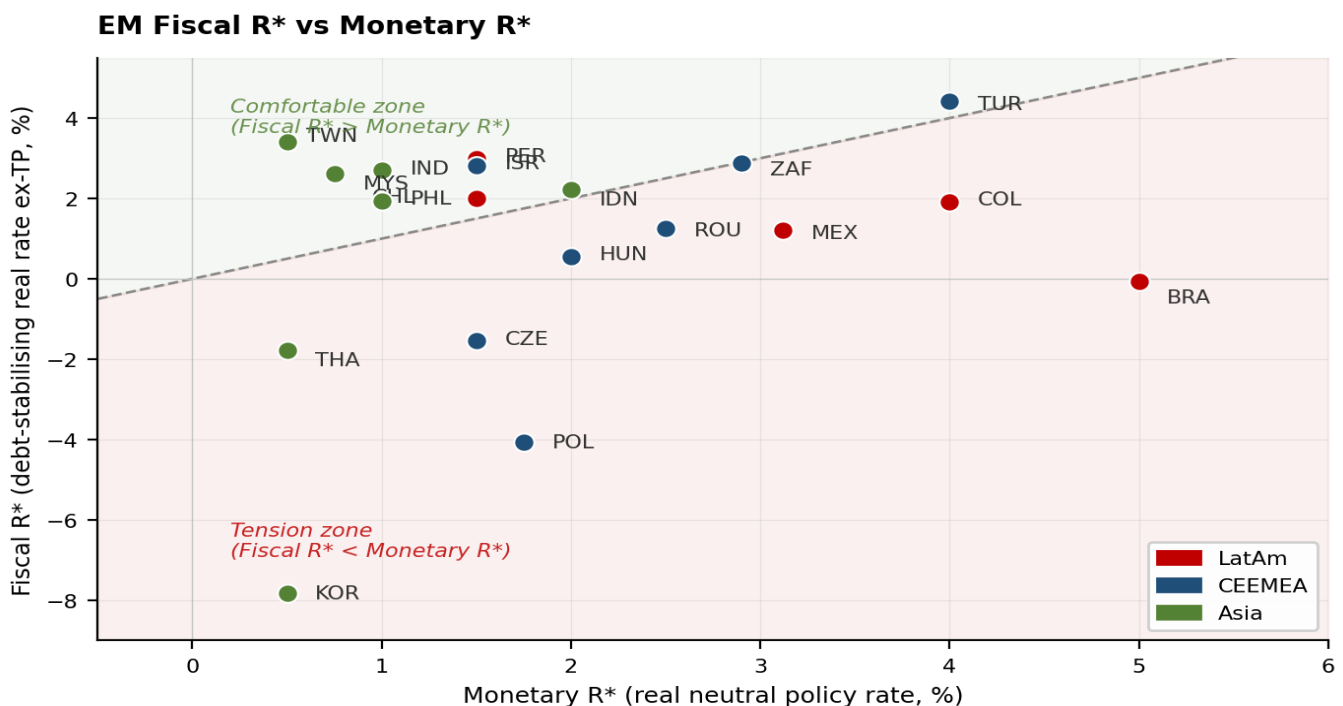


Chart 1. Fiscal R* vs Monetary R*. Points below the 45° line are in the tension zone (fiscal R* < monetary R*). Source: J.P. Morgan country economists; calculations apply IMF WP/24/174 formula consistently across countries.

Three groupings, two warning signals

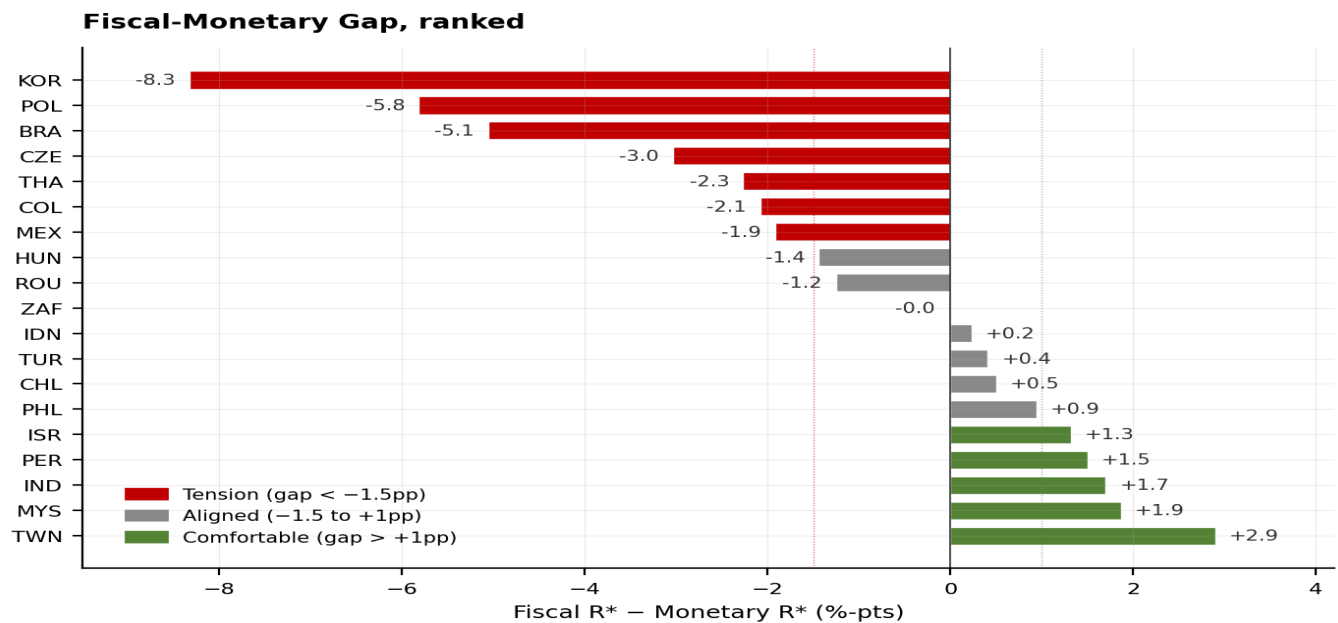


Chart 2. Fiscal-Monetary gap across 19 EMs. Negative values flag fiscal-monetary tension. Source: J.P. Morgan; calculations using IMF WP/24/174 framework.

Tension zone (gap below -1.5pp): KOR, POL, BRA, CZE, THA, COL, MEX. Either bond markets are under pressure or fiscal policy is asking monetary policy to do work it cannot do without compromising the inflation mandate. Brazil's -5pp gap reflects a high monetary R* (5%) against fiscal arithmetic that barely stabilises debt at zero real rates — a classic fiscal dominance candidate. Korea's extreme -8pp is dominated by a wide structural primary deficit relative to debt; Poland's -5.8pp reflects similar fiscal arithmetic against a moderate neutral rate. In LatAm (COL, MEX), term premia of 2–3pp suggest the bond market is already pricing the tension.

Aligned (gap -1.5 to +1pp): HUN, ROU, ZAF, IDN, TUR, CHL, PHL. Fiscal arithmetic and monetary policy are roughly compatible. Turkey's 0.4pp gap masks a high-volatility setup — both rates sit near 4% real — while South Africa is right on the line, with a tight fiscal target offset by a high term premium.

Comfortable (gap above +1pp): ISR, PER, IND, MYS, TWN. Strong real growth carries the fiscal arithmetic. India's 6.5% trend growth lets debt stabilise at real rates well above the neutral policy rate; Taiwan and Malaysia look comfortable largely because monetary R* is unusually low. The headroom is real but partly an artefact of low neutral rates rather than fiscal headroom *per se*.

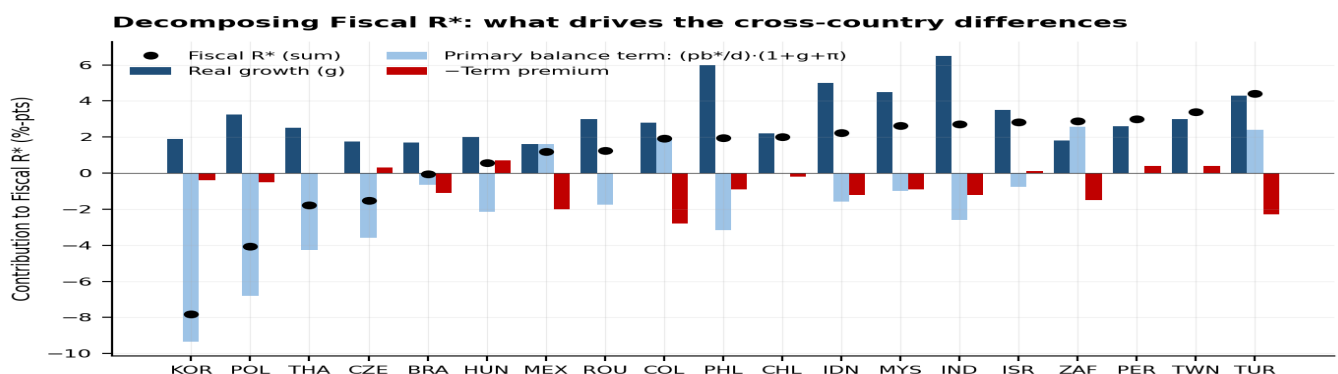


Chart 3. Decomposition of fiscal R*. Real growth (navy) and the primary-balance term (light blue) are the two main drivers; the term premium subtracts (red). Black dots show the resulting fiscal R*. Source: J.P. Morgan country economists; IMF WP/24/174. Term premia for ISR, IDN, MYS, PHL, TWN approximated from 5Y averages (± 20 –30bp). Country economists' original estimates available on request.

Bottom line

Seven EMs face material fiscal-monetary tension, concentrated in CEEMEA (POL, CZE) and LatAm (BRA, COL, MEX), with KOR and THA the Asian outliers. Absent fiscal consolidation, something must give in these names — typically via wider term premia, currency pressure, or eventual monetary accommodation. **The comfortable cluster sits in Asia plus a handful of high-growth or fiscally tight names** (IND, MYS, TWN, PHL, ISR, PER), but the comfort is partly a function of low neutral policy rates and may compress if monetary R* rises with the global cycle. **For positioning, the gap is most informative as a credibility indicator**: where it is wide and persistent, the question is not whether something adjusts but which authority bears the burden.